BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.

25-G-XXXX

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Prepared Testimony of:

Gas Supply Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF GAS SUPPLY PANEL

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF GAS SUPPLY PANEL

INTRODUCTION

Q. Would the members of the Gas Supply Panel please state your names and business addresses.

A. Our names are Christopher Ivan Kimball, Frank Cuomo and May Cheng. Our business address is 4 Irving Place 14th Fl, New York, New York 10003.

Q. By whom are you employed and in what capacity?

A. We are employed by Consolidated Edison Company of New York, Inc. ("Con Edison" or "Company").

(Kimball) I am the Vice President of Energy Management.

(Cuomo) I am the Director of Commodity Operations.

(Cheng) I am the Section Manager of Gas Planning.

Q. Please state your educational background.

A. (**Kimball)** I hold a Bachelor of Science degree and a Master of Science degree in Nuclear Engineering from Rensselaer Polytechnic Institute.

(Cuomo) I hold an MBA from the Zicklin School of Business at Baruch College and a Bachelor of Science in Mechanical Engineering from Manhattan College. I am a licensed Professional Engineer in the state of New York, a Project Management Professional, a Registered Gas Distribution Professional, and have completed the Siemens PTI Power Technology Transmission course.

(Cheng) I hold a bachelor's degree in Engineering from The Cooper Union and a master's degree in Business Administration from New York University.

Q. Please describe your work experience.

A. **(Kimball)** I joined Con Edison in 1987 as a Management Intern and held various positions of increasing responsibility until December 1998 when I was transferred to Consolidated Edison Energy, Inc. ("Con Edison Energy"). My responsibilities as Director of Asset Management included day-to-day scheduling, fuel procurement, electricity market sales and planning, and associated regulatory and accounting matters of generating facilities owned by Consolidated Edison Development, Inc. ("Con Edison Development") and other contracted generating facilities. In August 2008, I returned to Con Edison as Director of Electricity Supply. In that position, I was responsible for day-to-day electricity supply operations, including the scheduling of generation and load bids with the New York Independent System Operator, Inc. ("NYISO") and neighboring control areas; developing the overall electric power procurement plans for full service customers; developing and implementing Con Edison's electric hedging program; strategically evaluating and participating in capacity and transmission congestion contract ("TCC") auctions; managing contractual rights with various non-

utility generators; and processing monthly invoices for wholesale purchases and sales of capacity, energy, and TCCs for Con Edison and its affiliates, Orange and Rockland Utilities, Inc. ("O&R") and Rockland Electric Company ("RECO"). In July of 2012, I was promoted to my present position of Vice President of Energy Management.

(Cuomo) I have over 19 years of experience of utility and engineering experience. I joined Con Edison in 2011 and have served in positions of increasing responsibilities which include Project Manager of Steam Distribution, Section Manager of Steam Distribution Services, and General Manager or Steam Services. Prior to joining Con Edison, I worked as a consulting engineer with WSP. I was also an Adjunct Professor at NYU Schack Institute of Real Estate. In 2024, I joined Energy Management as the Director of Commodity Operations.

(Cheng) I joined Con Edison in 2008 as a Management Intern. I have worked primarily in Commodity Operations since then in various positions of increasing responsibility.

Q. Please generally describe your current responsibilities.

A. (**Kimball)** I am responsible for providing the overall strategic planning and direction for forecasting service area demand, evaluating electric, natural gas, and steam resource options, and procuring electricity, natural gas, oil, and renewable attributes. I perform these functions for the

customers of Con Edison, O&R, and RECO.

(Cuomo) In my current position as Director of Commodity Operations, I lead three sections comprised of (i) commodity purchasing and scheduling; (ii) gas planning; and (iii) commodity hedging. I am responsible for the functions of gas transportation planning, financial hedging, physical procurement and associated scheduling of gas, electricity, fuel oil, and renewable attributes. I oversee these areas for Con Edison and its corporate affiliate, O&R (Con Edison and Orange and Rockland are jointly referred to as "the Companies"), including for Con Edison-owned generation. Annual natural gas expenditures overseen by my areas of responsibility are over $700 million dollars per year.

(Cheng) In my current position as the Section Manager of Gas Planning, I am responsible for the planning and execution of our Gas Capacity Portfolio.

Q. Do you belong to any professional organizations?

A. (**Kimball)** No.

(**Cuomo)** I am a member of the International District Energy Association.

(Cheng) No.

Q. Have any members of the Panel previously testified before the New York State Public Service Commission ("Commission")?

A. (**Kimball)** Yes, I have testified before the Commission as the

witness in previous electric and gas rate case proceedings. (Cases 09-E-0428, 13-E-0030, 16-E-0060, 16-G-0061, 18-G-0068, and 19-G-0066).

(Cuomo) Yes, I have testified before the Commission as the Steam Infrastructure and Operations witness in case 22-S-0659.

(Cheng) Yes, I have testified before the Commission as the Gas Supply witness in case 24-G-0061.

Q. Please summarize the areas covered in your direct testimony.

A. We will discuss the changing nature of the gas supply and transportation industry and how market forces are affecting the Companies' gas purchasing, hedging programs, and capacity plans.

GAS SUPPLY PROGRAM

Q. Please describe the nature of the Companies' gas supply portfolio.

A. The Company manages a joint gas supply and capacity portfolio with O&R ("joint portfolio") that allows for the joint utilization of both Companies' gas supply and interstate pipeline capacity contracts, including storage. The joint portfolio is operated for the benefit of the firm gas customers of both Con Edison and O&R. The contracts that the Companies' have entered into are listed in Schedules 1, 2,

and 3 of Exhibit___(GSP-1).

Q. Please describe the objective of the Companies' long-term gas supply plan.

A. The Company evaluates supply and capacity requirements over a 10-year planning horizon and integrates and extends this planning over a 20-year horizon to determine a gas plan that meets the needs of its firm gas customers. While the Company plans only for its firm customers, it is cognizant of its non-firm customers' and electric customers' needs.

Q. Please describe the objective of the Companies' gas purchasing and hedging programs.

A. The Company's objective is to obtain reliable, diverse, and reasonably-priced gas supply to: (i) meet the design weather requirements of its firm gas customers, (ii) minimize costs to its firm customers, (iii) reduce price volatility, (iv) react to changing weather conditions, and (v) to the extent possible, maintain service during a contingency event affecting a major pipeline or supply basin.

Q. How do the Companies seek to maintain reliability of supply?

A. One of the cornerstones of a reliable gas portfolio is diversity. The Companies' joint gas supply and capacity portfolio includes contracted supplies from suppliers on multiple pipelines from the Marcellus Shale in the Northeast, the Gulf Coast, and Canada, as set forth in Exhibit___ (GSP-

1), Schedule 1, Gas Supply Contracts. The Companies also have firm pipeline capacity contracts with various interstate pipeline transportation companies, as set forth in Exhibit___ (GSP-1), Schedule 2, Pipeline Transportation Contracts, which provide access to diverse sources of supply. In addition, the Companies have several contracts for underground storage, which are listed in Exhibit___ (GSP-1), Schedule 3, Storage Contracts, a liquid natural gas ("LNG") peaking facility, whose deliverability is set forth on Exhibit___ (GSP-1), Schedule 4 and peaking delivered service, as set forth in Exhibit___ (GSP-1), Schedule 2.

Q. What are design weather conditions?

A. The peak day demand represents the quantity of gas that firm customers would require in a 24-hour period of a gas day, which starts at 10 am Eastern, at a Temperature Variable of zero degrees Fahrenheit. The Temperature Variable is defined as the sum of 70 percent of the projected gas day average temperature plus 30 percent of the prior gas day average temperature, which provides the best correlation with firm customer demand. Exhibit___ (GSP-1), Schedule 5, Forecasted Requirements – Peak Day, shows the forecast of Con Edison's and O&R's firm customers' peak day demand for each winter period (*i.e.*, November through March) beginning with the winter of 2025/2026 through winter 2027/2028. The Companies

also calculate the gas requirements for meeting demand over the course of a winter under severe weather conditions (design weather) to establish the storage and Delivered Services amounts needed to meet potential customer demand.

Q. Please explain how the Companies' contracts enable them to meet peak day demand.

A. The Companies meet peak day demand in four ways. First, the Companies rely on the delivery of firm supply through their firm interstate pipeline transportation and firm storage contracts, which are listed in Exhibit___ (GSP-1), Schedules 2 and 3. Second, the Companies maintain contracts for Delivered Services. These have primarily been firm peaking supplies that give the Companies the option to purchase gas for a pre-determined number of days during the winter (typically 15, 30, or 60 days) and pay the daily citygate index price for the gas on those days. These contracts for Delivered Services, which are listed in Exhibit___ (GSP-1), Schedule 2, contribute to the Companies' ability to meet peak load. Third, Con Edison vaporizes gas from its LNG facility to meet peak day demand.

Q. What do you mean by "Delivered Services?"

A. Delivered Services are gas supplies procured at the citygate from third party suppliers that have primary firm capacity to the citygate.

Q. What risks does the increase in Delivered Services introduce to the Gas Supply portfolio?

A. The Company has identified three risks: re-contracting, availability, and price volatility.

Q. Please explain these risks.

A. Unlike the Company's contractual rights for pipeline capacity, there is no regulatory renewal right for Delivered Services. Therefore, the Company does not have certainty that it can continue to rely on the same Delivered Service supply contract year to year to meet customer heating needs reliably.

Second, with the fully contracted pipeline capacity coming into the Con Edison service territory and new pipeline projects facing increased difficulty securing necessary permits, the future availability of Delivered Services required to meet our forecasted peak demand is uncertain because shippers who hold this capacity can market it to persons outside of the service territory.

Third, the increased reliance on Delivered Services in the portfolio results in higher gas price volatility and potentially increased costs for our customers. Instead of buying gas at low price volatility production area receipt points and transporting this gas on pipeline capacity to our service territories, the Companies must purchase at New York

area citygates where prices are subject to significant volatility during high demand periods.

Q. What actions have the Companies taken to reduce its reliance on Delivered Services?

A. The Companies actively seek to acquire firm transportation capacity to the New York area citygates as this capacity becomes available from other shippers through permanent capacity release transactions or by contracting directly with pipelines once the capacity has been turned back by an existing shipper. The Companies have also acquired capacity released through Asset Management Agreements ("AMA") with third party capacity holders in addition to traditional capacity release agreements. The Companies will pay a fee in exchange for capacity with a supply component from the third party.

Q. Have there been changes to the Companies' supply and capacity portfolio over the last three years?

A. Yes. The Companies have recently entered into new agreements and elected not to renew certain agreements.

Q. Please describe the recent agreements the Companies have entered into.

A. As discussed in further detail below, the Companies are diversifying their Delivered Services portfolio. The Companies have entered into Delivered Services contracts to

meet firm gas customers' current and future peak day requirements. These contracts give the Companies the right to call upon the supplier and purchase daily priced gas for a maximum of 30 or 60 days during the winter season. As previously discussed, these Delivered Services contracts provide needed supply to our gas system to supplement pipeline capacity under contract by our suppliers.

Q. How do the Companies evaluate whether to renew an expiring gas pipeline contract?

A. The Companies evaluate the capacity portfolio and take into consideration the projected demand forecast. If an expiring contract is still required to serve firm customers or to manage system operations, the Companies assess the market to determine if more economic alternatives that provide at least the same degree of reliability and flexibility are available. If not, the Companies will renew the contracts by exercising their rights pursuant to the interstate pipeline tariff’s Right of First Refusal (“ROFR”) provisions or other applicable contract provisions.

Q. Do you anticipate any future changes to the capacity portfolio?

A. Yes. The Companies have subscribed to pipeline capacity on Iroquois pipeline for 62,500 Dt/d of capacity for deliveries from Waddington, NY to New York City, NY.

Q. What is the current/updated status of the anticipated future pipeline project?

A. The estimated in-service date of the project on Iroquois Pipeline is Winter 2027-28.

Q. Have there been any changes to the Companies' supply portfolio?

A. Yes. As illustrated in Exhibit___ (GSP-1), Schedule 1, certain of the Companies' gas supply contracts expire each year. Existing contracts may be renegotiated or replaced through competitive bidding or RFPs.

In the past, the gas supply contracts required to fill open firm transportation capacity typically had one, three, or five-year terms. The Companies' purchasing strategy has changed in recent years. Upstream supplies have been limited to one year or less. The Companies have entered into multi-year upstream supply purchase deals for a small portion of their supply in order to capture some of the current market differentials and will continue to do so when market conditions support it. The Companies re-evaluate their purchasing strategy and make changes as circumstances dictate. Exhibit___ (GSP-1), Schedule 1, lists all gas supply contracts effective winter 2024/25.

PRICE VOLATILITY REDUCTION

Q. Please describe the procurement strategies the Companies employ in the wholesale market to minimize gas costs.

A. The Companies use many procurement strategies to minimize gas supply costs. For procurement of supply in liquid markets, such as production area receipt points, we use a competitive bidding process through Requests for Proposals ("RFPs") and by participating in on-line auctions. In illiquid markets, such as Delivered Services procured at certain of our service area citygates, the Companies engage in direct negotiation with the third parties capable of meeting the Companies' supply requirement.

Q. Please describe the Companies' gas hedging program.

A. The Companies' hedging program is designed to reduce gas price volatility. One of the hedging program's components is the Monthly Plan, which dictates the use of various financial instruments to hedge natural gas prices for part of the gas supply necessary to meet the monthly requirements of firm sales customers. The program provides for the Companies to hedge a predetermined quantity of their forecasted sales using financial price hedges for the winter period.

Q. Are there other efforts to reduce costs?

A. Yes. The dynamic nature of the wholesale gas market, since the advent of shale-based production, has created new

opportunities for the Companies to purchase more economic natural gas at alternative receipt points along the path of their interstate pipeline capacity. As new production and upstream pipeline capacity go into service, the Companies assess and may modify their purchasing strategy for the resulting changes in pricing dynamics. In addition, the Companies seek to optimize their joint portfolio primarily through capacity releases, AMAs, and off-system bundled sales.

Q. Please provide an illustration of the historical benefits from the Companies' portfolio optimization efforts.

A. Exhibit___ (GSP-1), Schedule 6, Non-Traditional Revenues, illustrates annual benefits received over the past five years from the Companies' portfolio optimization efforts to minimize overall costs to their firm gas customers.

Q. How are portfolio optimization benefits derived?

A. The expected benefits are derived when available capacity, not used to serve the Companies' customer requirements or balancing needs, is offered to the market through capacity releases, off-system sales, or AMAs that together are referred to as "discretionary capacity releases."

Q. What changes do you see for revenue from discretionary capacity releases?

A. We expect the revenue from discretionary capacity releases to

decrease. First, because of projected a small overall increase in peak demand over the 2026-2028 period, more existing capacity will be needed to serve firm customers more often, and therefore will be unavailable for release during times of higher market value. Second, the market value of some capacity has decreased because of recent pipeline buildouts from the Marcellus region (*e.g.*, Atlantic Sunrise, Rover) that have increased the capacity price in that region. This price increase reduces pricing differentials with other regions and decreases the value of released capacity.

MARGINAL COST STUDY

Q. Please address the marginal cost study with respect to gas supply costs.

A. Supply-side marginal costs are the costs of procuring and transporting an additional unit of gas to the Companies' distribution systems. Fixed costs of existing resources are not considered because they do not vary with additional usage and because the Companies cannot avoid paying them. The marginal costs projected for the 2026-2028 period average $6.02/dt for the year, $9.51/dt for the winter period and $14.67/dt for a peak day.

Q. Please define the marginal commodity cost.

A. Marginal commodity cost is the cost of an incremental

purchase of gas required to meet system demand that exceeds committed supply sources and planned supply additions.

Q. Please explain the development of the marginal commodity cost.

A. Exhibit___ (GSP-1), Schedule 8, Summer Season Supply/Demand Balance and Schedule 9, Winter Season Supply/Demand Balance compare the Companies' firm transportation and supply capability to serve gas demand for firm sales customers' summer and winter seasons under normal weather. Exhibit___ (GSP-1), Schedule 10, Peak Day Supply/Demand Balance compares the Companies' firm transportation and supply capability to serve all firm customers on a peak day. The Companies' firm transportation and supply capability includes all firm transportation deliverability and accompanying purchased firm supplies. As shown by these Schedules, the highest cost of supply was assumed for purposes of the marginal cost study. The volume of gas that the highest cost of supply represents compared to projected firm demand, is less than the Supply Capability of the Companies except for on a design day. The need to add capacity to serve firm customer requirements is driven by the Companies' requirements on a design day. As such, the marginal cost for commodity on a design day reflects the purchase of gas through a peaking contract at a Con Edison citygate. The Companies often secure peaking

supplies to supplement baseload, storage and other supplies to meet our peak demand on a design day.

Q. Please explain the calculation of the marginal commodity cost.

A. The marginal commodity cost is measured by using an optimization model to dispatch load profiles under normal and design weather and taking the resulting highest cost of supply.

Q. What is the forecast period used in your marginal cost study?

A. The forecast period for the marginal cost study is the three-year period from November 2025 through October 2028. Exhibit___ (GSP-1), Schedule 11, Natural Gas Monthly Marginal Commodity Costs, displays the monthly forecasted marginal commodity costs for the three years of the study. Exhibit___ (GSP-1), Schedule 12, Marginal Commodity Costs, summarizes these costs to show the impact of the incremental increase on an average annual, summer season, winter season, and design day basis.

CAPITAL AND O&M INVESTMENTS

Q. Are there presently Gas Supply information technology ("IT") systems requiring capital enhancements?

A. Yes, there are presently two systems that require enhancements. The first system is the Gas Transaction System

("GTS"). There are two requested projects for GTS. The first is a white paper called "FIS Gas Transaction System Version Upgrade and Enhancements." The second is a white paper called "Migration to Cloud, Version Upgrade, and Enhancements for the FIS Gas Transaction System." The combined capital cost of GTS enhancements is $9.46 million over the proposed rate period.

The second system requiring enhancement is the Transportation Customer Information System ("TCIS"). The whitepaper is called "Transportation Customer Information System (TCIS) Reporting and Infrastructure Enhancements." It has a capital cost of $4.32 million over the proposed rate period.

The white papers for these two projects are included in Exhibit___ (IT-7) of the Company's IT Panel.

Q. Starting with the first system enhancement for GTS, FIS Gas Transaction System Version Upgrade and Enhancements, please describe the project's purpose.

A. GTS is the operational and accounting system of record used by Commodity Operations to record and schedule deliveries of natural gas purchases to the Companies' service territory. In addition, GTS identifies, assembles, analyzes, and reports the organization's transactions for accrual purposes, accounts for the related assets and liabilities, and allocates the various costs of natural gas purchases to the

various end users. The purpose of this project is to upgrade the FIS GTS application from the 2019 version to the 2023 version to support regulatory compliance, streamline the system by rewriting existing interfaces for module integration, and implement new automation functionality relating to gas nominations. The objective of the version upgrade, consolidation and automation enhancements to GTS is to protect the adequacy of the system and improve operational processes.

Q. Please describe the purpose of the second project for GTS: Migration to Cloud, Version Upgrade, and Enhancements for the FIS Gas Transaction System.

A. Starting in late 2026, the "Migration to Cloud, Version Upgrade, and Enhancements for the FIS Gas Transaction System" project includes work to migrate to a cloud-based infrastructure, upgrade to version 2026 from version 2023 as required for compliance, and enhance functionality, reports and interfaces to adapt to evolving regulatory policies and stakeholder requirements. The move to cloud servers leverages scalability and allows for greater security and ease of maintenance. Upgrading to the latest version allows us to maintain vendor support, ensures ongoing internal security compliance, and realizes the benefits from the several enhancements made with each version release. This project

will ensure application compliance, increased efficiency, and adaptability.

Q. Please describe the purpose of the project for TCIS.

A. TCIS is a software application used by gas marketers to communicate gas operational information with Con Edison. TCIS has many functions, including the ability to communicate gas scheduling information, control access security, generate reports, post messages to the internet, store rates, create invoices and vouchers, and track enrollments/de-enrollments. The scope of work for the "Transportation Customer Information System (TCIS) Reporting and Infrastructure Enhancements" project includes: (1) enhancing the user interface by creating a new dashboard that has an interface to the meter data hub, (2) creating a new interruptible report and modifying existing billing reports as per regulatory requirements, (3) migrating existing functionality from the retiring Retail Choice Information System ("RCIS"), and (4) upgrading infrastructure to meet cyber and corporate requirements. This project improves data reporting accuracy through the dashboard to the meter data hub and gas consumption transparency for gas marketers. This will result in more accurate delivery amounts by gas marketers on behalf of their customers.

Q. Are there projected additional O&M expenses associated with

these projects?

A. Yes, there are. The additional O&M expense is $3.161 million over the rate period, comprising $2.741 million for GTS and $420,000 for TCIS.

Q. What are the drivers for the projected increases in O&M?

A. The O&M expenses are for maintaining and supporting the enhancements to the applications.

Q. Please describe the O&M expenses related to GTS.

A. GTS is a commercial software product by the company FIS. Since 2018, the product has been customized specifically for the operational needs of gas purchasing, scheduling, billing, hedging, contract administration and risk management. GTS has customized reporting and interfaces to gas control, interstate pipelines, accounting, and pricing warehouse applications. The application is used to schedule the forecasted demand of firm gas customers to the Con Edison citygates, through communications with the Gas Control applications and multiple interstate pipeline electronic bulletin boards. Additionally, GTS contains records of gas purchases and contracts with gas suppliers to the requirements of the North American Energy Standards Board ("NAESB"). The application serves as the system of record for firm gas transactions and is thereby used authoritatively in close-of-month accounting processes. Due to the operational

nature of the system, system performance is critical to the delivery and billing of gas to our customers. Gas scheduling involves day ahead and intra-day scheduling deadlines. In case of technical system issues, adequate IT support is paramount to resolving issues timely. The specialized software enhancements tailored to the needs of our business require higher costs to maintain. There are annual vendor maintenance and support costs as well as costs assessed by our internal IT Managed Service Provider, Cognizant, for support.

Q. Please describe the O&M expenses related to TCIS.

A. The O&M expenses relating to the maintenance and support of TCIS also are due to the customized enhancements and operational real time support needs of the application. TCIS is an in-house developed product that came online in 2018 and has been actively enhanced through to mid-2024. The system is used for daily operations, specifically to calculate the daily gas delivery requirements of the more than seventy gas marketers serving firm and interruptible customers in our service territory. TCIS also acts as the electronic bulletin board for accepting gas schedules from the gas marketers in accordance with both day ahead and intra-day scheduling deadlines. Marketers require 24/7 access to the application to relay gas scheduling information to the Company. Those

schedules are then sent through our systems to Gas Control every fifteen minutes. These deliveries represent 50 percent of all nominations for firm gas customers on our system. This information is critical to Gas Control's confirming of gas supplies at the various pipeline citygates to maintain system reliability. Due to the operational nature of the system, system performance issues are urgent and need to be resolved quickly. The complexity of the system enhancements required for operation and regulatory needs have added to the increased support costs.

Q. Are there any O&M requests outside of capital projects?

A. Yes. We are requesting $1.378 million in O&M outside of capital project support, which comprises funding for the following over the rate year period: EM Automation program ($464,000), Trellis ($74,000), Allegro Upgrade ($240,000), and Platts Contingency ($600,000).

Q. Please describe the programs related to these O&M requests.

A. The EM Automation Program is a departmental effort to leverage automation to reduce manual, time-consuming, repetitive work to improve operational efficiency. In pilot efforts, Energy Management has established workflows to standardize and automate the quarterly user verification processes for SOX applications within Energy Management. The funding is intended to continue these small-scale automation

efforts to create more efficiencies, accuracy, and tracking or reporting within our operations.

Trellis is a secondary application the Company is looking to use to augment the GTS to obtain periodic updates on interstate gas pipeline rates. The rates posted on the individual Electronic Bulletin Boards ("EBBs") are currently accessed manually. As EBB rates update to individual pipeline schedules, the Companies need to track when the updates are available and go into effect. With Trellis, the rates would be automatically uploaded to the Company's databases and synchronized with our invoice processing application, which is currently FIS. This would lead to time savings and accuracy through the elimination of manual routine work.

The Allegro upgrade costs are attributed to enhancements made to the Allegro application outside of the rate period. Allegro is being upgraded from 2024 to 2025 to the latest version, migrated to cloud services, and enhanced for operational needs. The scope of work is slated to be completed in 2025. The increase in O&M costs are to ensure maintenance of these new services. The increase in costs is Energy Management's share of the vendor's annual maintenance costs.

The Platts contingency request is to ensure the Company has sufficient funding to retain the S&P Global Platts

subscription for natural gas market prices. The subscription is required to obtain natural gas price settlement information for our natural gas purchases and to set rates for our marketer and interruptible customer programs. For the past few years, the cost of the subscription has increased significantly after each contract period. The Companies typically enter into a two- to three-year contract, as offered by the vendor. After these periods, the cost of the subscription in the subsequent contract depends largely on the negotiations. The Companies continue to strive for reduced costs in the negotiations. The contingency request is to ensure the Companies can retain the subscription.

LOST AND UNACCOUNTED FOR GAS

Q. Please explain the current methodology for calculating lost and unaccounted for ("LAUF") gas.

A. In accordance with the current Gas Rate Plan, the Company uses a throughput method that calculates unaccounted for gas by subtracting metered deliveries to customers from metered supplies to the system. An adjustment is made for generators who contribute 0.5% of their metered deliveries to the unaccounted for gas as well as the delivering party to the receiving party among the New York Facilities companies. Beginning September 2020 and going forward, gas loss due to

inactive accounts are no longer part of the net gas loss calculation. The remaining LAUF gas is compared against a rolling five-year average.

Q. Are you proposing any changes to Con Edison's LAUF calculations for the period commencing January 1, 2026?

A. No, not at this time. Please note, however, that the Company continues to investigate an unanticipated increase in LAUF gas for the twelve-month period ending August 2024 (See, November 14,2024 letter the Company filed in Case 22-G-0464). Depending on the outcome of this ongoing investigation, the Company may propose changes to the LAUF calculations at a future date.

DIFFERENTIATED NATURAL GAS

Q. Is the Company proposing any procurement of differentiated natural gas?

A. Yes. The Company is proposing to continue the pilot program designed to allow the procurement of differentiated gas, during the rate period, limited to an annual cost above traditional supplies of $800,000 per year.

Q. What is differentiated natural gas?

A. Differentiated natural gas is natural gas originating from producing sites that have undergone third-party certification to verify that the operator has met high environmental

standards and best practices for methane reduction in their operations.

Q. Does the procurement of differentiated gas align with the goals of CLCPA?

A. Yes, per CLCPA, the 1990 net emissions baseline includes not only all statewide sources of greenhouse gas emissions but also those associated with imported electricity and fossil fuels.

Q. What reporting requirements is the Company proposing as part of the pilot?

A. The Company will file an annual report each May, describing progress of the pilot to date and meet with DPS Staff each June to review the report and to recommend next steps, which could include filing for modification of the program with the Commission.

INTERRUPTIBLE SERVICE PROGRAM

Q. Have there been large movements in enrollment for the interruptible program?

A. No. The Company has been filing annual reports as required by Case 22-G-0065 which have shown that customer enrollment moved less than five percent over the last five years.

Q. Is the Company proposing any changes to the balancing or operational provisions applicable to the interruptible program?

A. Not at this time.

REGULATORY ACTIVITIES

Q. Do the Companies undertake any regulatory efforts to maintain the reasonableness of their gas costs and the reliability of their supply?

A. Yes. The Companies participate in FERC proceedings involving: (i) their interstate pipeline transportation and storage providers ("service providers") and (ii) generic issues that impact the cost and quality of the gas service received by the Companies from FERC-regulated entities. The Companies review all significant FERC filings made by the interstate pipelines and storage companies from which they receive service. The Companies have long participated in numerous FERC proceedings and, when circumstances dictate, have filed detailed comments or objections. Exhibit___(GSP 1), Schedule 7, lists the FERC dockets in which the Companies have filed detailed comments since January 2022. The Companies also participate in various working groups and taskforces established by our service providers that are not connected to a specific FERC proceeding. These groups discuss important

issues related to service changes and enhancements or facility modernization programs; the outcome of these discussions is often a filing at FERC.

The Companies also actively participate in the American Gas Association ("AGA") FERC Regulatory Committee and the Legal Committee, which involves a range of federal regulatory and legal issues relating to gas. The Companies also closely follow FERC proceedings that impact rates and terms and conditions of service of their interstate pipeline service providers. The Companies actively participate in litigation and settlement negotiations. In addition to the FERC proceedings listed in Exhibit___ (GSP-1), Schedule 7, the Companies participate in several federal appellate court cases, advocating for reasonable prices and adequate supply for our customers.

The Companies are also actively engaged in several pipeline rate cases, both ongoing and expected, to negotiate reasonable rates for our customers. When appropriate, the Companies also collaborate with the North American Energy Standards Board ("NAESB") and the Natural Gas Council ("NGC"), either directly or through their membership in the AGA.

Q. Please provide examples of the Companies' active participation in the rate proceedings of their interstate

pipeline suppliers.

A. Since January 2022, the Companies have actively participated in numerous FERC rate proceedings. Specifically, the Companies participated in Columbia Gas Transmission's 2021 rate settlement (RP20-1060), Iroquois Gas Pipeline's 2022 rate settlement (RP22-1065), Eastern Gas Transmission's 2022 rate settlement (RP21-1187), Texas Eastern Transmission's 2022 rate settlement (RP21-1188 and RP21-1001), Honeoye Storage Corporation's 2022 rate settlement (RP22-1229), Stagecoach Pipeline's Natural Gas Act section 5 rate proceeding and settlement(RP23-558), National Fuel's 2023 rate proceeding and settlement (RP23-929), and Tennessee Gas Pipeline's 2024 rate settlement (RP24-333).

The Companies are currently participating in the following active rate proceedings at FERC: Algonquin Gas Transmission Pipeline (RP24-781), Transcontinental Gas Pipeline (RP24-1035), and Columbia Gas Transmission (RP24-1103).

Other FERC proceedings the Companies are involved in are not "rate cases," but these matters have the potential to impact our customers' bills and service. For example, the Companies participated in the Transco "cash-out" proceeding (RP20-614, RP20-618) to address the recovery of an approximately $66 million outstanding balance resulting from the difference between revenues received and costs incurred by Transco under

the cash-out provisions of its tariff. FERC approved a settlement in January 2024.

From a service quality perspective, the Companies have successfully negotiated annual reliability reporting provisions and greenhouse gas ("GHG") tracking mechanisms into every FERC-jurisdictional rate settlement since 2022. The Companies and, as a result, our customers, benefit from improved transparency surrounding reliability and GHG matters.

The Companies also closely monitor proposed tariff changes by service providers that modify their terms and conditions of service, including matters related to rights of first refusal, gas quality, lost and unaccounted for gas, bidding rules, shipping priority, service provider credit policies, and tariff and negotiated rate agreement filings that could affect the quality of pipeline service to the Companies. The Companies also closely monitor new incremental services being offered by the Companies' current service providers so that the rates of those new incremental services are not subsidized by the Companies' existing customers.

Q. What other regulatory efforts have the Companies taken to maintain the reliability of their gas and electric supply?

A. The Companies continue to advocate for coordination of electric and gas system reliability and resilience through

market rule changes, such as expanding dual-fuel requirements in New York State to generators beyond our service territory. For example, the Companies actively participate in NYISO stakeholder processes to support capacity accreditation rules that provide accurate compensation to units with dual fuel. The Companies have also supported NYISO's work on a Fuel and Energy Security Study, which, among other things, identified potential risks to electric reliability stemming from gas supply. In 2022 and 2023, the Companies participated in the NAESB gas-electric harmonization forum, predominantly through our trade organization AGA, where we advocated for reforms to address reliability and resiliency given gas-electric interdependence. The Companies continue to advocate at NAESB for greater attention to upstream gas reliability. In addition, the Companies provided information to support the Joint FERC/North American Electric Reliability Corporation ("NERC") Winter Storm Elliott Inquiry in order to advance policies that will improve upstream gas infrastructure reliability during extreme weather. The Companies continue to work with federal and state regulators to improve and strengthen service reliability on behalf of our customers. Most recently, we participated in the Natural Gas Readiness Forum, which is the product of recommendations from the National Association of Regulatory Utility Commissioners

("NARUC") Gas-Electric Alignment for Reliability Working Group.

Q. Are the Companies a member of any groups addressing gas reliability issues in New York State?

A. Yes. The Companies have been active participants in the Natural Gas Reliability Advisory Group ("NGRAG") from its initiation. The NGRAG was formed to consider the evolving gas capacity markets and how they affect reliability, and to inform the Commission about issues that need to be addressed to protect reliability. The NGRAG has focused discussion on the NYISO gas/electric working group to address gas supply and transportation issues, updates of an ongoing LDC collaborative addressing Gas Marketer Transportation and Balancing Programs, and operational updates provided by gas industry LDCs, pipelines, marketers, customer groups, New York State Research and Development Authority ("NYSERDA") and New York Mercantile Exchange representatives.

Q. Please describe the Companies' efforts in connection with NAESB.

A. We have been a member of NAESB and its predecessor organization, the Gas Industry Standards Board ("GISB") since the latter's inception in 1994. Mr. Kimball serves as an Executive Committee alternate. The Companies continue to monitor the development of new business standards and, as

appropriate, participate in periodic revisions to the NAESB Base Contract, a form agreement frequently used in the industry for the purchase and sale of natural gas. For example, in October 2023, we submitted comments in support of proposed base contract changes that would have more fairly and adequately balanced risk between suppliers and downstream customers. With and through AGA, we continue to participate in gas-electric coordination discussions at NAESB.

Q. Please describe the Companies' efforts in connection with the Northeast Gas Association ("NGA").

A. The Companies are members of the NGA Gas Supply Task Force ("Task Force"). The Task Force includes representation from: (1) all the interstate transmission companies serving the region; (2) LNG importers and trucking companies; (3) the largest of the northeast region's LDCs; and (4) several of the larger power generation owners that use natural gas as a major part of their fuel supply. The Task Force meets prior to the winter heating season to confirm communication protocols and to provide updates on the status of member company transmission and storage systems. The Task Force is convened during the winter to monitor supply and deliverability issues. The region's state regulators and the electric grid operators are notified of Task Force meetings and are provided meeting summaries. Lastly, the Companies

have participated in NGA's new Government and Regulatory Affairs Committee, created in 2024.

Q. Does this conclude your direct testimony?

A. Yes, it does.